REC Ltd

RECLTD • N/A

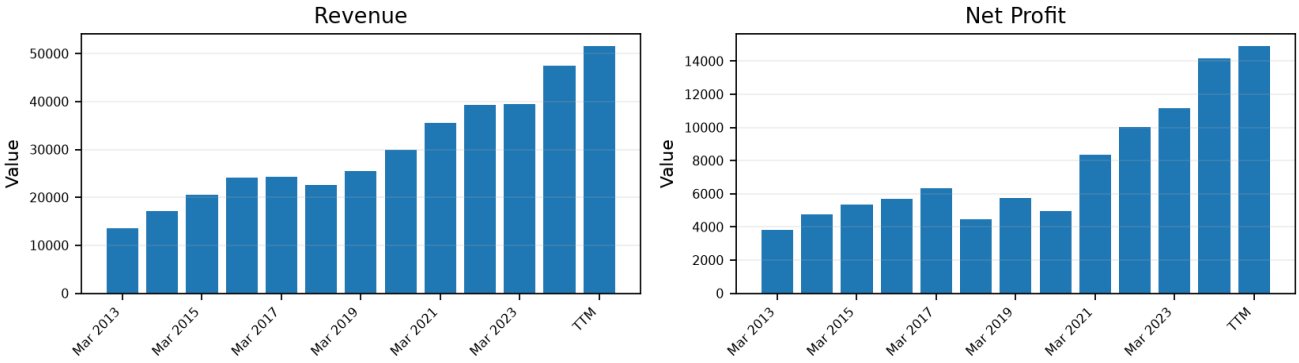
Company	REC Ltd
NSE Ticker	RECLTD
Sector	N/A
Sub-sector	N/A
About	REC is a Central Public Sector Undertaking under the Ministry of Power involved in financing projects in the complete power sector value chain from generation to distribution. [1]

Key Financial Indicators

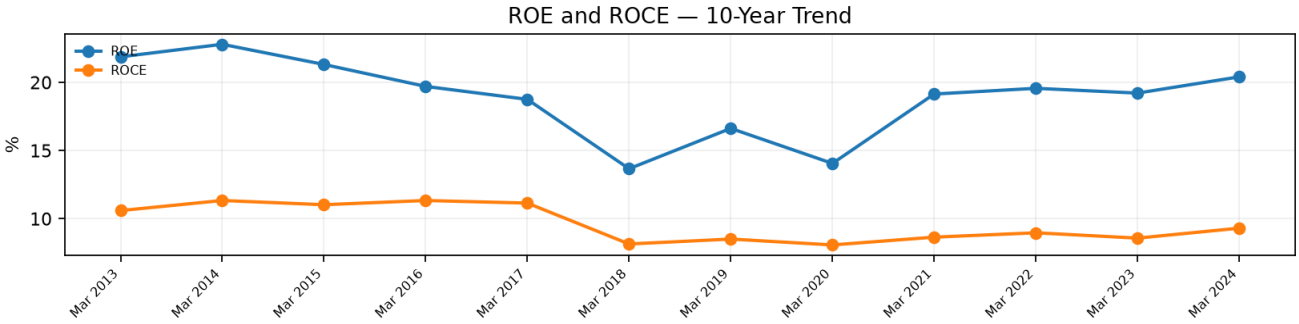
ROE	ROCE	Net Profit Margin
20.40%	9.30%	29.77%

D/E	Revenue CAGR 5Y	FCF
6.42	11.45%	-59,554.00

Revenue and Net Profit — 10-Year Trend



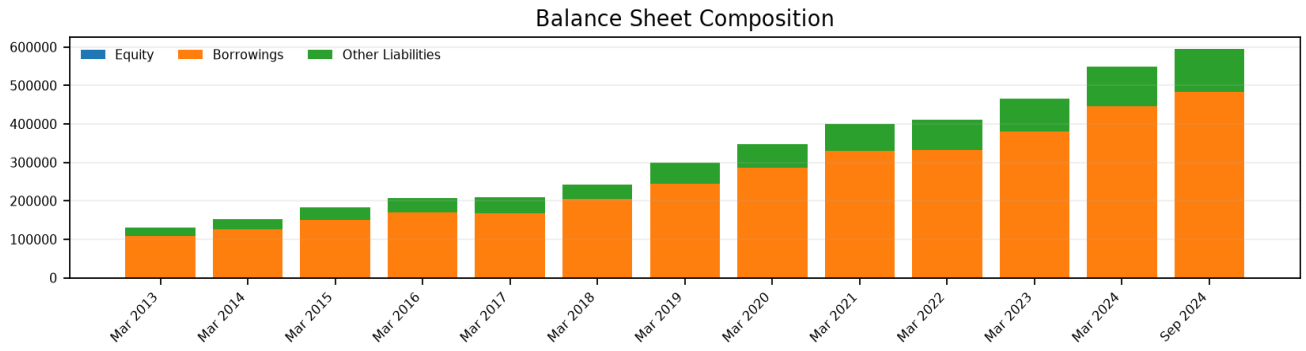
Return Efficiency Trend



REC Ltd

RECLTD • N/A

Balance Sheet Composition



Latest-Year Cash Flow

Latest Year: Mar 2024

CFO	CFI	CFF	Net Cash Flow
-57,723.00	-1,831.00	59,588.00	34.00

PROS

✓ Operating profit margin above 25% indicates strong pricing power and cost discipline

✓ Net profit compounding at above 20% over 5 years creates significant shareholder value

✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding

✓ Revenue growing slower than profits shows improving operating leverage and scale benefits

CONS

✕ Debt-to-equity ratio of 6.42 is elevated for a non-financial company and warrants monitoring

✕ Free cash flow negative for 3 consecutive years raises concern about cash generation quality

✕ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

CAPITAL ALLOCATION: Distress Signal